



HIGH COURT OF JUDICATURE AT ALLAHABAD

WRIT - C No. - 12303 of 2026

M/S Om Food Manufacturing Center

.....Petitioner(s)

Versus

State Of U.P. And 2 Others

.....Respondent(s)

Counsel for Petitioner(s)	:	Kumar Ankit Srivastava
Counsel for Respondent(s)	:	C.S.C., Udit Chandra

Court No. - 29

**HON'BLE ARINDAM SINHA, J.
HON'BLE SATYA VEER SINGH, J.**

1. Mr. Kumar Ankit Srivastava, learned advocate appears on behalf of petitioner and submits, his client enjoys commercial connection. His client applied for enhancement of load, increased to 140 KV on 14th July, 2023. Subsequent to the increase his client regularly paid consumption charges bills. After lapse of two years the supply company issued notice that there was mistake in connection and made demand of in excess of Rs. 54 lacs. He submits, increase of load and installation of meter were not in hands of his client. There is no allegation of theft but of mistake made by the supply company, for which his client is being penalized on threat of disconnection. He seeks interference.

2. Mr. Shubhranshu Shekhar, learned advocate, Additional Chief Standing Counsel appears for State. Mr. Udit Chandra, learned advocate appears on behalf respondent nos. 2 and 3 (the supply company). He submits, a bill dispute is to be raised under clause 6.5 in U.P. Electricity Supply Code, 2005. The writ petition is not maintainable.

3. We see that the supply company is raising a dispute in respect of bills already paid and due discharge obtain by petitioner. Dispute because the supply company says that there was omission and incorrect bills were raised. On query Mr. Chandra

seeks adjournment to demonstrate applicable provision, whereunder the supply company can raise demand on incorrect bills.

4. Adjournment is granted. The demand will remain stayed till next date of hearing.

5. List on 6th May, 2026 as fresh.

April 23, 2026
Vikram

(Arindam Sinha,J.)

(Satya Veer Singh,J.)



2026:AHC:104801-DB

AFR

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**HON'BLE ARINDAM SINHA, J.
HON'BLE SATYA VEER SINGH, J.**

(Per Arindam Sinha, J.)

1. Petitioner is before us contending enjoyment of commercial connection. On application for enhancement of load, it was increased to 140KV on 14th July, 2023. Subsequent to the increase, petitioner regularly paid consumption charge bills. After lapse of two years, the supply company issued notice that there was mistake in applying rate for the charges for electricity earlier consumed and made demand in excess of Rs. 54,00,000/-. Increase of load and installation of meter were not in hands of petitioner. There is no allegation of theft but of mistake made by the supply company. Petitioner is being sought to be penalised on threat of disconnection.

2. On 23rd April, 2026 we had recorded order, carrying our query. It will appear from paragraph 3 of the order, reproduced below.

"3. We see that the supply company is raising a dispute in respect of bills already paid and due discharge

obtained by petitioner. Dispute because the supply company says that there was omission and incorrect bills were raised. On query Mr. Chandra seeks adjournment to demonstrate applicable provision, whereunder the supply company can raise demand on incorrect bills."

Mr. Kumar Ankit Srivastava, learned advocate appears on behalf of petitioner. Mr. Piyush Shukla, learned advocate, Standing Counsel appears for State and Mr. Udit Chandra, learned advocate for respondent nos. 2 and 3 (the supply company).

3. Today Mr. Chandra relies on judgment of the Supreme Court in **Assistant Engineer, Ajmer Vidyut Vitran Nigam Limited v. Rahamatullah Khan alias Rahamjulla** reported in **(2020) 4 SCC 650**, paragraph 8 in Law Finder print. The paragraph is reproduced below.

"8. Applying the aforesaid ratio to the facts of the present case, the licensee company raised an additional demand on 18.03.2014 for the period July, 2009 to September, 2011.

The licensee company discovered the mistake of billing under the wrong Tariff Code on 18.03.2014. The limitation period of two years under Section 56(2) had by then already expired.

Section 56(2) did not preclude the licensee company from raising an additional or supplementary demand after the expiry of the limitation period under Section 56(2) in the case of a mistake or bona fide error. It did not however, empower the licensee company to take recourse to the coercive measure of disconnection of electricity supply, for recovery of the additional demand.

As per section 17(1)(c) of the Limitation Act, 1963, in case of a mistake, the limitation period begins to run from the date when the mistake is discovered for the first time.

In Mahabir Kishore and Ors. v. State of Madhya Pradesh, (1989) 4 SCC 1 this Court held that:-

"section 17(1)(c) of the Limitation Act, 1963, provides that in the case of a suit for relief on the ground of mistake, the period of limitation does not begin to run until the plaintiff had discovered the mistake or could with reasonable diligence, have discovered it. In a case where payment has been made under a mistake of law as contrasted with a mistake of fact, generally the mistake become known to the party only when a court makes a declaration as to the invalidity of the law. Though a party could, with reasonable diligence, discover a mistake of fact even before a court makes a pronouncement, it is seldom that a person can, even with reasonable diligence, discover a mistake of law before a judgment adjudging the validity of the law."

(emphasis supplied)

*In the present case, the period of limitation would commence from the date of discovery of the mistake i.e. 18.03.2014. The licensee company may take recourse to any remedy available in law for recovery of the additional demand, **but is barred from taking recourse to disconnection of supply of electricity under section (2) of Section 56 of the Act.**"*

(emphasis supplied)

4. For purpose of convenience, section 56 in Electricity Act, 2003 is reproduced below.

"Section 56. Disconnection of supply in default of payment.-

(1) Where any person neglects to pay any charge for electricity or any sum other than a charge for electricity due from him to a licensee or the generating company in respect of supply, transmission or distribution or wheeling of electricity to him, the licensee or the generating company may, after giving not less than fifteen clear days' notice in writing, to such person and without prejudice to his rights to recover such charge or other sum by suit, cut off the supply of electricity and for that purpose cut or disconnect any electric supply line or other works being the property of such licensee or the generating company through which electricity may have been supplied, transmitted, distributed or wheeled and may discontinue the supply until such charge or other sum, together with any expenses incurred by him in cutting off and reconnecting the supply, are paid, but no longer:

Provided that the supply of electricity shall not be cut off if such person deposits, under protest,-

(a) an amount equal to the sum claimed from him, or

(b) the electricity charges due from him for each month calculated on the basis of average charge for electricity paid by him during the preceding six months,

whichever is less, pending disposal of any dispute between him and the licensee.

(2) Notwithstanding anything contained in any other law

for the time being in force, no sum due from any consumer, under this section shall be recoverable after the period of two years from the date when such sum became first due unless such sum has been shown continuously as recoverable as arrear of charges for electricity supplied and the licensee shall not cut off the supply of the electricity."

It follows, subsequent demand on discovery of mistake can be made as on law declared, on interpretation of section 56. No other provision has been shown. The law declared says, there cannot be recovery to distress of the consumer. Upon perusal of initial notice dated 1st July, 2025 and subsequent notice dated 24th October, 2025 we see that original demand of aggregate Rs. 54,14,196.88/- stood increased to Rs. 62,03,152/-. The initial notice speaks only of mistake detected. There is no statement regarding bonafide error. Petitioner was thereby presented with allegation of discovery without any opportunity for him to test its correctness. Furthermore, there are items of charge and other entries in the bill, including for rebate. They do not bear particulars. Mr. Chandra submits, he be allowed time to obtain instruction regarding upward revision in the demand. As aforesaid, law declared is that subsequent discovery of bonafide mistake leading to additional charge, can be recovered.

5. Section 56(1) provides for procedure of 15 clear days' notice in writing, to recover the charge, including by cutting off supply of electricity. Sub-section (2) provides for limitation. **Rahamatullah Khan** (supra) says, coercive action cannot be taken. In other words, the supply company not having recourse to coercive steps for recovery, must obtain civil remedy on a principal sum and may claim interest on the principal sum as a claim in the

action. There cannot be upward revision in the demand, after it is made. The supply company cannot progressively increase its demand.

6. In this case we direct the supply company to present the discovery of mistake and proper calculation, with applicable rebate given to petitioner, for payment within the prescribed time. In event of non-payment, the supply company has to resort to civil remedy, to recover. At this stage Mr. Chandra relies on a subsequent judgment of the Supreme Court in **M/s Prem Cottex v. Uttar Haryana Bijli Vitran Nigam Ltd.** reported in **(2021) 20 SCC 200**, paragraphs 18 and 21 in Law Finder print. Paragraph 18 is reproduced below.

"18. Eventually, this Court disposed of the appeals, preventing the licensee from taking recourse to disconnection of supply, but giving them liberty to take recourse to any remedy available in law for recovery of the additional demand. Therefore, the decision in Rahamatullah Khan (supra) is distinguishable on facts."

We do not see that **Rahamatullah Khan** (supra) was overruled. On the contrary, the Supreme Court in distinguishing **Rahamatullah Khan** (supra) on facts strengthens our appreciation of the judgment as law declared.

7. The writ petition is thus allowed and **disposed of**.

May 6, 2026
Mohini

(Arindam Sinha,J.)

(Satya Veer Singh,J.)